

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

MARINE TRANSPORT LOGISTICS, INC., *Complainant*

v.

CMA CGM, S.A., *Respondent*.

DOCKET NO. 22-23

Served: November 12, 2024

ORDER OF: Mary A. HERVEY, *Administrative Law Judge*.

ORDER ON COMPLAINANT'S MOTION FOR RECONSIDERATION OR TO REOPEN DISCOVERY

On October 31, 2024, Complainant Marine Transport Logistics, Inc. ("MTL") filed Complainant's Motion for Reconsideration or to Reopen Discovery. MTL requests reconsideration of the order granting Respondent's Motion to Strike the lost profits argument and evidence submitted by MTL at page 8 of the Reply Brief of Complainant and attached Exhibits 55, 56, and 57 filed on June 27, 2024, or, in the alternative, to reopen discovery ("Motion"). Respondent CMA CGM, S.A. ("CMA") filed its opposition on November 8, 2024. Respondent's Response to Complainant's Motion for Reconsideration or to Reopen Discovery. Respondent opposes the motion on the ground it fails to meet the applicable legal standard for granting reconsideration, contains an inadequate factual predicate, would cause substantial delay and undue prejudice if granted, seeks relief beyond that framed by the underlying order, was filed without first conferring with CMA's counsel, and is untimely. For the reasons set forth below, MTL's motion for reconsideration is denied.

In Respondent's Motion to Strike, CMA argued that page 8 of MTL's reply brief and attached exhibits constitute improper "sandbagging" that should be stricken because they contain argument and evidence concerning lost profits allegedly sustained by MTL due to Shipping Act violations that were raised for the first time on reply and outside the deadlines imposed by the scheduling order. Despite that MTL failed to produce evidence regarding lost profits during discovery and did not assert or offer proof of lost profits in its initial brief, MTL argued in its opposition to the motion to strike that it should be permitted to raise new argument and evidence concerning lost profits on reply because CMA had produced 20,000 documents on the final day of discovery on April 16, 2024. Although MTL did not explain why CMA's timely discovery response would justify the late submission of new argument and evidence on reply, the undersigned found it likely that MTL was arguing that it needed additional time to review Respondent's document production prior to the deadline for filing its brief, proposed findings of facts, and exhibits on May 15, 2024. The undersigned then found that because MTL had failed to move to extend the applicable deadlines set forth in the Order on Respondent's Motion for

Reconsideration and Second Revised Scheduling Order dated February 27, 2024, it had waived any claim that it had insufficient time to comply with the deadlines in the scheduling order.

The undersigned also found that the record shows that MTL failed to produce lost profit evidence during discovery despite being required to do so. In this regard, pursuant to the Order on Motions to Compel dated January 31, 2024, MTL was directed to provide “complete responses regarding the calculation of its injury” in responses to Interrogatories 30, 31, 32, 33, despite that MTL had argued that Alla Solovyeva would be produced to testify on this point at deposition. Order at 6. At her deposition, Alla Solovyeva denied knowledge of information regarding MTL’s profits for 2020 and 2023, and MTL’s counsel refused CMA’s request to produce federal tax returns for 2020 through 2023 from which profit information could be obtained. Rather, in response to the question asking whether or not MTL had lost profits as a result of the alleged Shipping Act violations, Ms. Solovyeva, the principal owner of MTL, testified only that MTL “lost customer and potential business.” RX 2 (Solovyeva Deposition) at 16:5-16, 237:4- 240:8.

On this record, the undersigned determined that no basis exists for an exception to the general rule that new argument and evidence should not be raised for the first time on reply and granted CMA’s motion to strike. *Corson and Gruman Company v. National Labor Relations Board*, 899 F.2d 47, 51 n.4 (D.C. Cir. 1990) (citing *Reyes-Arias v. INS*, 866 F.2d 500, 504 n.2 (D.C. Cir. 1989)); *Ner Tamid Congregation of N. Town v. Krivoruchko*, 620 F.Supp.2d 924, 929 (N.D. Ill. 2009); see also *Autotech Techs. Ltd. P’ship v. Automationdirect.com Inc.*, 235 F.R.D. 435, 437 (N.D. Ill. 2006).

In its motion for reconsideration, MTL reasserts that it should be allowed to advance new arguments and evidence concerning lost profits on reply because CMA produced 20,000 documents on the discovery deadline of April 16, 2024. MTL suggests that it is significant that CMA produced documents on the discovery deadline despite that Judge Wirth ordered on February 27, 2024, that the parties produce discovery “as soon as it is available.” Order on Respondent’s Motion for Reconsideration and Second Revised Scheduling Order at 2. MTL also notes as significant that Judge Wirth’s order dated January 31, 2024, provided that “No further motions may be filed.” Order on Motions to Compel at 9. Thus, MTL argues that it was unable to seek an extension of the scheduling order after receiving CMA’s document production on the discovery deadline and was therefore justified in raising new arguments and evidence for the first time on reply. As alternative relief, MTL seeks an extension of the discovery deadline to permit additional discovery related to the information contained in Respondent’s April 16, 2024, discovery response. MTL does not describe with particularity the documents produced in Respondent’s production or explain why additional discovery at this late date is required, but rather merely states that the documents CMA produced are relevant to elements necessary to establish the Shipping Act violations alleged.

A motion for reconsideration “must demonstrate reasons why the court should reconsider its prior decision” and “must set forth facts or law of a strongly convincing nature to induce the court to reverse its prior decision.” *Donaldson v. Liberty Mut. Ins. Co.*, 947 F. Supp. 429, 430 (D. Haw. 1996). Reconsideration is appropriate in three circumstances: (1) when newly discovered evidence becomes available; (2) if the court committed clear error or the initial

decision was manifestly unjust; or (3) if there is an intervening change in controlling law. *Nunes v. Ashcroft*, 375 F.3d 805, 808 (9th Cir. 2004). Moreover, reconsideration may not be based on evidence and legal arguments that could have been raised at the time of the challenged decision. *Kona Enters., Inc. v. Estate of Bishop*, 229 F.3d 877, 890 (9th Cir. 2000). Whether or not to grant reconsideration is committed to the sound discretion of the court. *White v. Sabatino*, 424 F. Supp. 2d 1271, 1274 (D. Haw. 2006). A motion for reconsideration should not be granted, absent highly unusual circumstances. *Carroll v. Nakatani*, 342 F.3d 934, 945 (9th Cir. 2003).

MTL does not claim that newly discovered evidence has become available or that there has been a change in controlling law. Rather, it argues that the undersigned erred in finding that MTL waived its right to object to the timing of CMA's document production because it did not move for an extension of the deadlines in the scheduling order. As to this point, MTL correctly asserts that Judge Wirth's January 31, 2024, order on cross motions directed that no further motions be filed. But MTL also acknowledges in its motion that CMA moved and obtained an extension of the discovery deadline thereafter. Order on Respondent's Motion for Reconsideration and Second Revised Scheduling Order at 2. This calls into question whether or not the earlier order prevented MTL from moving for an extension of its deadline to submit its opening brief. Assuming, arguendo, that it did and that MTL did not seek an extension on this basis, the question remains as to whether or not Respondent's timely response to discovery, albeit on the discovery deadline, was sufficient to justify MTL's submission of new evidence and argument regarding lost profits for the first time on reply. The simple answer to this question is no. That is because the information regarding MTL's lost profits is uniquely within the possession and control of MTL – not CMA, and, as such, it necessarily follows that MTL's ability to produce lost profits argument and evidence in its opening brief was not impacted by the timing of Respondent's document production.

Notably, the new evidence and argument stricken from MTL's reply brief relates solely to lost profits. Because MTL offers no valid justification on reconsideration for failing to produce lost profit evidence and argument in its initial brief, the undersigned finds that it was properly stricken from its reply brief.

As alternative relief, MTL seeks to reopen discovery on the basis of Respondent's document production having been made on the April 16, 2024, discovery deadline. MTL does not explain what additional issues it wishes to pursue in discovery. Rather, MTL merely states: "As noted in the opening brief, from the documents that were able to be reviewed, some go directly to the elements that MTL is required to prove in this case to establish a violation of the Shipping Act." Motion at 2. MTL's request to reopen discovery is outside the scope of a motion for reconsideration. In this regard, it is not proper to raise new arguments in a motion for reconsideration that could have been raised earlier. *Mauro v. N.J. Supreme Court*, 238 F. Appx. 791, 793 (3d Cir. 2007); *United States v. James B. Nutter & Company*, 2023 WL 2190200 (W.D. Mo. 2023). MTL did not seek an extension of discovery in either its initial or reply brief. As such, issues pertaining to discovery are not within the confines of the pending motion for reconsideration.

Based on this record, the undersigned finds that the Order on Motion to Strike was correctly decided and that MTL's motion for reconsideration is not well taken. Accordingly, the Motion is DENIED.

Mary A. Hervey -S⁸ Digitally signed by Mary A. Hervey -S
Date: 2024.11.12 12:38:20 -05'00'

Mary Apostolakos Hervey
Administrative Law Judge